

Predicting Alpha Strategy Exam

Total points 47/58

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Section 1: Prerequisites

This section will test your knowledge about some of the fundamentals of options.

✓ Which greek is the most important? *

1/1

- ☐ Theta.
- ☐ Vega.
- ☐ Gamma.
- ☐ Delta.
- ☒ All of the above.



Feedback

Option greeks tell us about our position. One is not intrinsically more important than the other. They tell us about our exposure. You need to be aware of how all of them impact an option position so you can be sure to have the exposures that you want (and discard of the ones you don't!)



✓ Why is theta the inverse of gamma? *

1/1

- ☒ Because as DTE decreases, the payout from a big move increases. ✓
- ☐ Because as the stock moves over time the sensitivity to mean reversion increases.
- ☐ Because quick moves are more likely in short periods of time.
- ☐ Because convexity is auto correlated to time.

Feedback

Theta is considered the inverse of gamma because theta shows us the rate of decay for an options price and gamma tells us how sensitive the option's price is to changes in the underlying stock.

When options have a lot of time to expiration, they have very low theta (because it doesn't expire for many days) and they also have very low gamma (they don't change in value much if there is a move in the stock today, since there is a lot of time left for things to change).

But as the option approaches expiration, the theta increases and so does the gamma. With 0DTE left, the theta for the day represents 100% of the remaining option value and the gamma is at it's highest.

This is the primary reason why the idea that "theta is our edge" is incorrect. Theta is just what an option buyer is paying for access to the option's gamma. As the saying goes, "one man's theta is another man's gamma".



 What is delta hedging? *

1/1

- ☐ A strategy for staying in control of trending assets by hedging with options or stock.
- ☐ A way to lock in gains on a short volatility position by hedging with options or stock.
- ☐ An emphasis on maintaining a delta of 0 at inception by hedging with options or stock.
- ☒ The act of hedging your position to reduce your directional exposure. Hedging with options or stock. 

Feedback

When we run option selling strategies we are primarily trading the difference between implied and realized volatility. Recall that volatility does not inherently imply a direction, it is simply the magnitude of moves. This is why we structure trades to be delta neutral when we put them on.

As time passes, the underlying drifts and what was once a trade that clearly expresses a view on implied vs realized volatility now has some exposure to delta.

Delta hedging is the technique to maintain delta neutrality over the lifetime of your trade. Built into both the ETF and Earnings strategies are intrinsic ways of delta hedging, so it is not often we will need to use this technique, but it is still extremely important to understand and be able to use as needed.

Here is an article that explains delta hedging in depth:
<https://www.predictingalpha.com/delta-hedging>



✗ Which of the following characteristics about volatility is true? *

0/1

- ☐ The market is a poor predictor of future volatility.
- ☐ It clusters.
- ☐ It trends.
- ☐ It is the riskiest asset that can be traded.
- ☒ All of the above.

✗

Correct answer

- ☒ It clusters.

Feedback

The market is actually very good at forecasting future volatility. This is why we do not put emphasis on creating our own forecast to compare against the market.

Volatility does indeed tend to cluster, meaning that if volatility is low today, it's likely to be low tomorrow. If high today, likely to be high tomorrow.

Volatility is not a trending phenomenon, it is actually the opposite. It mean reverts.

Volatility is not inherently the riskiest asset. It gives you different exposures than other financial instruments and the major risks come with not understanding how it works.

If you want to dive deeper into volatility characteristics here is a detailed article we wrote:
<https://www.predictingalpha.com/volatility-mean-reversion>



✗ For which of the following opinions are options the right product to trade? *0/1

- ☐ You think the implied volatility will be greater than the realized volatility.
- ☐ You think the stock will go up a lot.
- ☐ You think the stock will go down a lot.
- ☒ All of the above. ✗

Correct answer

- ☒ You think the implied volatility will be greater than the realized volatility.

Feedback

Options are volatility instruments. You would not trade them simply because you think a stock is going to move up or down. While direction can be one of the exposures you get, you also need to have a view on how much the stock will move relative to what the market expects.

Saying the stock will "move up a lot" or "down a lot" doesn't mean options are cheap or expensive unless you have a benchmark to compare it against.

This is where the idea of implied and realized volatility becomes very important. It's the benchmark we use to say if we believe options are cheap or expensive.

Here is a detailed article on implied vs realized volatility:

<https://www.predictingalpha.com/implied-vs-realized-volatility>

Section 2: Option Selling Strategy Fundamentals

This section of the test covers the information that was taught to you in the beginning of the course.



✓ What is at the core of every profitable option selling strategy? *

1/1

- ☒ A reason that someone is willing to pay you. ✓
- ☐ Very clear trade management rules.
- ☐ A research paper that looked at all the data factors.
- ☐ A positive backtest result.

Feedback

Everything listed in this question could be a part of having a profitable strategy. But the one fundamental thing that they will all have is a reason that the person on the other side of your trade is willing to pay you.

The reason this is so important is because the market is very efficient and we have to assume that generally speaking the person on the other side of our trade is pretty smart. This means that they are not simply going to donate money to us. If this is true, then that means when someone is willing to engage in a set of trades with us in which we are going to extract a profit, they are likely aware of this too and trading with us because of a different motivation.

The two most common are a desire to gamble or hedge a position. Here is an article we wrote that talks about the different types of traders you will see in the market and their motivations: <https://www.predictingalpha.com/who-trades-options>



✓ Why do option sellers get paid? *

1/1

- ☒ For holding risks that others don't want. ✓
- ☐ For knowing how to take advantage of complex structures.
- ☐ For having exceptional risk management skills.
- ☐ For being willing to take on more risky trades.

Feedback

There is no free money in the market. When you run a strategy that generates returns for you and has positive expected value, you are getting compensated for a reason. Almost always in the volatility space you are getting compensated for holding risks that other trades do not want to hold.

This is the case in both the ETF and Earnings Premium strategy. Fundamentally, you are getting paid for helping other traders hedge their downside risk on indexes and equities that they hold.

Here is an article that I wrote about why option traders get paid:

<https://www.predictingalpha.com/how-to-make-money-selling-options>



✓ What is the most important thing to know before you start trading a new strategy? *1/1

- ☐ How the strategy has performed recently.
- ☒ Why you are getting paid. ✓
- ☐ If the time required suits your trading style.
- ☐ What the backtest results look like.

Feedback

You must have a very clear understanding of the reason that you are getting paid when you run a strategy. It's the fundamental logic that drives the strategy.

A good rule of thumb is that you should be able to explain your edge in plain english without needing to dive into the intricacies of how options work. You are getting paid for some sort of real world value in the end of the day, not because an option has theta or because you know how to create a complex trade structure.



✓ What is the variance risk premium? *

1/1

- ☐ The reason that option prices go up on average as you increase days to expiration.
- ☐ The reason that IV rank increases as stocks become more volatile.
- ☒ The tendency for implied volatility to be higher than subsequently realized volatility. ✓
- ☐ All of the above.

Feedback

The variance risk premium (VRP) can be calculated by taking the implied volatility for a given time period and measuring the realized volatility that happens subsequently over that same time period. $IV - \text{SubsequentRV} = \text{VRP}$.

In the Predicting Alpha terminal, we use the 30 DTE options to do this and create a 4 year timeseries of this data to measure if the variance risk premium exists for a given ticker.

learn more about variance risk premium: <https://www.predictingalpha.com/variance-risk-premium>

✓ Why does the VRP Exist? *

1/1

- ☐ Traders are willing to pay for insurance.
- ☐ Traders are willing to pay to gamble.
- ☐ Options protect against sudden price jumps.
- ☐ Most traders can only buy, not sell options.
- ☒ All of the above. ✓

Feedback

All four of the options are reason for the VRP to exist. Any of them individually are good enough reasons too. This is one reason the VRP is always present.. even if one reason stops being true, it's highly unlikely they will all become untrue at the same time.



✓ How do we measure the VRP for a ticker at Predicting Alpha? *

1/1

- ☐ By looking at the spread between current IV and average IV over the last 4 years.
- ☒ By looking at the mean spread between IV and subsequent RV over last 4 years. ✓
- ☐ By looking at the mean spread between IV and historical RV over last 4 years.
- ☐ By looking at the spread between current IV and our forecast of future RV.

Feedback

In particular we use the IV30d and subsequent RV30d to do this. We calculate this data point for every day over the last 4 years and then take the average spread between the IV and RV. This point difference is the number of points of risk premium that there is on average for a ticker.

✓ What would we do if VRP didn't exist? *

1/1

- ☐ Implement stricter risk controls to ensure we can generate returns.
- ☐ Leverage up our trades so we can match the rate of return we currently receive.
- ☒ Find a different product to trade. ✓
- ☐ Focus on trading single names instead of ETFs to reduce correlation risk premiums.

Feedback

We aren't trading options because they are cool or because they are complicated. The only reason we, or any other option seller, is willing to provide liquidity and hold a significant amount of risk is because we are compensated for doing it. This compensation is what we call the variance risk premium. If it didn't exist, we wouldn't be trading options and we would go find something else with a risk premium to trade.



Section 3: ETF Premium Strategy

This section of the test covers the information taught to you in the ETF Premium section of the course.

✓ How do we pick between ETFs that make our list for the ETF Premium strategy when we only have the capital to trade a few of them? *1/1

- ☐ The ones that are in a sector we think is going to be stable.
- ☐ The ones with the highest VRP and straddle return.
- ☒ Diversification, liquidity, average straddle return. ✓

Feedback

If you want to follow the strategy very strictly, the way you would do it is by taking the trades that offer the tightest bid/ask spread and are most different from each other (low correlation).

The reason this is most in line with the strategy's approach is because fundamentally all the trades which make the list are good and they all have a positive variance risk premium. We don't want to be applying to many filters to try and forecast the next 30 days of volatility because this can be very difficult.

So the way we do it is by taking the ones that will be the cheapest to trade (tight bid ask) and offer us diversification (low correlation to the other trades we are taking).

We also care about the average straddle return because it basically shows us that over the past 4 years it has yielded the highest risk premium. This is our core metric for the strategy.



✓ What is the criteria for a good trade for the ETF Premium strategy? *

1/1

- ☒ A profitable backtest, positive VRP, stable volatility environment(IV percentile below 95), different industry representation. ✓
- ☐ Highest average backtest return, the highest VRP, IV Percentile above 95, different industry representation.
- ☐ Most profitable backtest, stable VRP, Lowest IV Percentile, different industry representation.

Feedback

If an ETF meets the four requirements in the right answer, then it falls into the world of ETFs that "have a positive variance risk premium that we can capture". Not only that, but since it offers different market representation than the other ETFs we are currently trading, it can help reduce our portfolio variance by not moving the same as the other ETFs we are currently trading.

For the incorrect answers..

- Lowest IV percentile does not matter to us. We know that the variance risk premium is present at all levels of the IV percentile, and there is no added compensation for trading when it is as the lowest.

- IV percentile above 90 is actually something that could exclude a ticker from being a part of our portfolio. While the VRP is present at all levels of the IV percentile, we also know that the highest IV percentiles result in the biggest PnL variance. There is no added compensation for holding the bigger swings in your PnL, so we do not trade when we are seeing "catastrophic" levels of volatility.



✗ Which of the following are reasons you would choose to trade Put Credit Spreads instead of Straddles for the ETF Premium strategy? (Select all that apply) *0/1

- ☐ Higher expected return on each trade (it makes more money).
- ☐ Lower PnL variance + built in hedge.
- ☒ Does not require permissions to sell naked options (can be traded in retirement accounts). ✓
- ☒ hands-off trade management, no delta hedging required. ✓

Correct answer

- ☒ hands-off trade management, no delta hedging required.
- ☒ Lower PnL variance + built in hedge.
- ☒ Does not require permissions to sell naked options (can be traded in retirement accounts).

Feedback

The expected value of trading put credit spreads is a little bit lower than for selling at the money straddles and delta hedging them. This is covered in the "Strategy Profitability & Options" section of the masterclass.

But what you lose in expected value, you gain in simplicity. There is no active management required for this structure. It has a built in hedge, does not require level 4 permissions for option selling and only requires you to roll into new positions towards expiration.

You would choose this structure if you favor simplicity over extracting every single dollar of returns, or if you are new to option selling and want to minimize the dependency on your trade execution to extract returns.



✓ Why do we trade 30 DTE expirations in the ETF Premium strategy? *

1/1

- ☒ Monthly options tend to be the most liquid, allowing us greater diversification and less slippage. ✓
- ☐ We know for a fact that it is the most frequently traded expiration by funds looking for a portfolio hedge.
- ☐ 30 Days tends to be enough time for the trade to go in our favor.
- ☐ Monthly expirations in particular are the perfect balance between gamma and theta.

Feedback

Monthly contracts tend to be the most liquid, and since we are going to need to trade into and out of our positions, we are going to be crossing the bid/ask spread twice for each trade.

Even though it seems like a small amount, this can really add up. So as a general rule, we should look to trade where liquidity is the highest. Its the simplest way to manage our costs.



✓ What is the highest IV Percentile we trade in the ETF Premium strategy? * 1/1

- ☐ 75.
- ☐ 85
- ☒ 95.
- ☐ 100.



Feedback

IV Percentile is just the metric that we use to try and quantify how catastrophic the environment around a particular ETF is right now. As was covered in the course, the VRP is always present at all levels of implied volatility. But at the highest levels is where we also see the greatest variance in our account PnL. Bigger winners, but also bigger losers. There is no added compensation for this extra stress.

This means that whether we trade through the most turbulent conditions or not doesn't really matter.

So as a part of our risk controls we aim to avoid trading when markets are in a serious downturn. The way we measure this is with the IV Rank.

The reason the cutoff is so high is because this is something that should not be happening very often. We should only be "stopping out" when things are truly catastrophic. Even outside of the IV Rank metric, you will "feel" when things are like this.



✓ Why do we avoid trading during extremely high volatility environments? * 1/1

- ☐ We do not receive extra compensation for the increased PnL variance we will experience.
- ☐ Even though the VRP is higher in points, it's the same as a % of the implied volatility.
- ☐ The risk premium is always present, so we are not obligated to be in the trade at all times.
- ☒ All of the above. ✓

Feedback

All of these are good reasons why we do not trade during high volatility environments. The short answer is just that you don't need to do it. You take on more risk and stress and you aren't compensated for it. You can still make money because the premium is there, but as a general rule of thumb avoiding these will help you have a smoother PnL. You are not obligated to trade at all times. It's not like if you don't trade during the craziest conditions, you miss the premium. It will still be there when things calm down again.



✓ Why do ETFs have more risk premium than stocks? *

1/1

- ☒ Because of the risk that the holdings become more correlated in a crash. ✓
- ☐ Because they are the representation for entire sectors instead of individual companies.
- ☐ Because they have higher liquidity and capacity than individual companies.
- ☐ Because their put skew is steeper than what we see in individual companies.

Feedback

ETFs exhibit a feature called implied correlation which basically means that embedded into the implied volatility of an ETF option is the degree to which the market thinks all of the underlyings that typically give it diversification will move the same way.

In a market crash, it's likely that most assets will see a large drop in value, even if they are uncorrelated during regular market conditions. This means that diversification is limited in it's ability to hedge against recessions.

This leaves only one tool that can do this effectively - the put option. And what asset makes the most sense to trade it on? The one that is correlated with the broader market - ETF options.

Another reason is because single name stocks have more exposure to things that are hard to measure such as buyouts and bankruptcies. Over a large number of tickers being analyzed it appears that these risks are not always priced fairly into the option prices. To get the diversification to absorb the blows from these types of events becomes difficult, and you end up simply replicating an ETF for yourself.

It's for these fundamental reasons that the variance risk premium on ETFs is observed to be higher than it is on single name stocks.



✓ Why is our key metric Average Straddle Return for the ETF Premium strategy? *1/1

- ☒ Because timing VRP is hard, so we focus on trading assets we know are profitable on average. ✓
- ☐ Because this is how much we can expect to generate in profits each week from running the strategy.
- ☐ Because it's allows us to make sure the straddle has performed well recently (and will continue to perform well in the future)
- ☐ All of the above.

Feedback

The core philosophy of this strategy is to trade things with variance risk premium.

Don't try to time it. Don't get fancy with it.

Just put together a basket of stuff that has the risk premium and makes money.

The average return on a straddle is the number that tells us if on average selling options on an ETF has been profitable.

So if we had to pick one metric to rely on to tell us if there is a risk premium we can capture, this would be the one.

If the average return on selling the straddle has been positive then we can conclude that even after accounting for costs and slippage, there is a variance risk premium available for us as retail traders to capture.



✗ Our 30 DTE put credit spread is expiring today for the ETF Premium strategy. The position is going to expire with the stock price right at our short put's strike. What is the appropriate way to exit this position? *0/1

- ☐ Buy 100 shares and hold them through expiration for assignment.
- ☐ Close out the position before the close.
- ☒ Do nothing. ✗

Correct answer

- ☒ Close out the position before the close.

Feedback

Since there is an equal chance that the trade will expire in the money or out the money, we do not want to take the risk of getting assigned.

If we do nothing and the trade goes in the money, we are going to get assigned and end up being long 100 shares over the weekend. If the stock goes down after this happens, we could end up taking a huge hit.

While it's not ideal to take on the costs of closing out the trade, we will have to do it in these cases. The risk of getting stuck with a large equity position is too high. So we will close out the side of the trade that is almost in the money.



✓ Our 30 DTE put credit spread is expiring today for the ETF Premium strategy. The position is going to expire with the stock price comfortably above our short strike. What is the appropriate way to exit this position? *1/1

- ☐ Buy 100 shares and hold them through expiration for assignment.
- ☐ Close out the position before the close.
- ☒ Do nothing. ✓

Feedback

This is the ideal situation that we find ourselves in each week. If the stock price is comfortably above our short strike, there is no trade management required. We can simply let the position expire worthless and open up our new put credit spread position.

This is ideal because we do not have to pay any costs or incur any slippage to exit our trade.



✗ Our 30 DTE straddle is expiring today for the ETF Premium strategy. The position is going to expire with the stock price being past (above) our short call's strike. What is the appropriate way to exit this position? *0/1

- ☐ Take assignment of the short shares and start trading them.
- ☐ Close out the position before the close.
- ☒ Do nothing.

✗

Correct answer

- ☒ Close out the position before the close.

Feedback

In this situation, we know that the position is going to get assigned at expiration. We know that some trade management is going to be required.

It's possible to manage the position by trading shares, but to keep things simple, we will just look to close out the trade just prior to expiration.

For more advanced traders taking this quiz, if you choose to trade shares to neutralize the assignment that can be a reasonable approach as well.



✓ How often do we delta hedge when trading short straddles for the ETF Premium strategy? *1/1

- ☒ Daily at the close. ✓
- ☐ Weekly at the close on fridays.
- ☐ Hourly from market open to close.
- ☐ Once at the open and once at the close.

Feedback

Delta hedging daily is a frequency that balances effectiveness with realistically being able to maintain the habit.

Delta hedging more frequently becomes burdensome and could start to fall into the world of "over managing" your position (way too much extra work for marginal improvements).

Delta hedging less frequently starts to become "not delta hedging", eliminating the benefits we hoped to receive through managing our trade.



✗ In terms of our greeks, which are the exposures that we want when trade short straddles in the ETF Premium strategy? *0/1

- ☒ Delta neutral, long gamma, short theta, short vega. ✗
- ☐ Delta neutral, long gamma, short theta, long vega.
- ☐ Delta neutral, short gamma, long theta, short vega.
- ☐ Delta neutral, short gamma, long theta, long vega.

Correct answer

- ☒ Delta neutral, short gamma, long theta, short vega.

Feedback

The exposures that we want in terms of greeks are determined based on the view we are trying to express on the market. Similar to how when you want to cut a piece of wood you use a saw, when you want to express a certain view you use a certain option structure. We like to use the saw to cut wood because it's got the jagged and sharp edge. We like to use a particular option structure because it's got certain greeks.

In the ETF strategy, we can ask our selves a series of questions to make this determination

- 1. Do we have an opinion on the direction the stock will go?*
- 2. Do we think implied volatility will increase or decrease?*
- 3. Do we think implied volatility will be higher than realized volatility?*

Since we don't know what direction it will go, we want no exposure to it. We think implied volatility will go down over time, so we want exposure to a decrease in it. We think implied volatility will be higher than realized volatility so we want exposure to that.

Delta neutral, short gamma, long theta, and short vega is what gives us this exposure.



✓ You decide that you want to run the ETF Premium strategy with a hedge in place for each position. What is the optimal way for us to do this? *1/1

- ☐ Buy a delta 20 strangle with 90 DTE.
- ☐ Buy an at the money straddle with 90 DTE.
- ☐ Always hold a long delta 20 put on SPY as a hedge for the portfolio.
- ☒ Trade the put credit spread approach. ✓

Feedback

If you want to have a hedge in place it makes more sense to just trade the put credit spreads.

You could also look to hold a deep OTM put on the same expiration if you are choosing to trade the straddles, but the straddle method really shines if you embrace the variance that comes with it and allow your edge to play out.

✓ Where do I find trades for the ETF Premium strategy? * 1/1

- ☒ On the ETF Premium scan in the PA Terminal. ✓
- ☐ On the ETF Analysis page in the PA Terminal.
- ☐ In the discord community.
- ☐ On my own watchlist.

Feedback

The pre built scanner for you is really good and it is based on the way that I generate a list of potential trades.

Start with this and then you can customize it if the need arises for your portfolio.



✓ I only have the capacity to trade a couple of ETFs at a time. How do I select which ones to add?

*1/1

- ☒ Pick the most liquid ones that represent different industries. ✓
- ☐ Pick the ones that you are most familiar with so you can follow their price movement.
- ☐ Pick the ones with the lowest share price so you can place more trades.
- ☐ Pick the ones with the highest backtest return.

Feedback

All of the ETFs on the list will be good candidates. So just make sure you have a good amount of diversification by checking them in the correlation matrix and that they are liquid enough for you to get in and out of the trades without needing to pay too much.



✓ I want to see a backtest of how selling straddles has performed on a particular ETF. Where can I see this? *1/1

- ☒ On the variance risk premium dashboard in the Predicting Alpha Terminal. ✓
- ☐ By looking at the stock movement on each day historically for earnings in your brokerage.
- ☐ By looking at the IV timeseries in your brokerage.
- ☐ All of the above.

Feedback

You are able to see an automatically generated backtest and the key metrics from it for every single ETF by going to the variance risk premium page in the Predicting Alpha terminal. You can access this page by clicking the view report button beside any of the ETFs on the scanner or you can go to it on the sidebar of the terminal. If you manually go to the page, you will need to search up the ETFs by typing them into the ticker dropdown in the top left corner of the terminal.

Note that you are also able to look up stocks on this page. If you do, the VRP data will populate but the backtest will not. The backtest is exclusive for ETFs.



✓ Why does the ETF data focus on 30 DTE? *

1/1

- ☐ The 30 DTE Straddle is the cleanest way to trade the "risk premium" effect. The put credit spread is a variation designed to simplify the process.
- ☐ It's a clean way to observe the VRP
- ☐ The edge should be big enough that a small change in DTE should not have a major impact
- ☒ All of the above



Feedback

The entire point of the VRP chart and the backtest is to help us see if the variance risk premium exists for an ETF and if it's possible for us to monetize it.

The effect that we are looking to establish the existence of should be robust enough and large enough that it exists regardless of small changes in DTE or strikes.

It's either there or it's not.



✓ What is the best way to know if I have good diversification for my ETF strategy? *1/1

- ☐ Looking for keywords in the ETF names.
- ☒ Putting the ETFs in a correlation matrix. ✓
- ☐ Looking at the industry for each ETF.
- ☐ Compare the IV percentiles for each and make sure they are not at the same level.

Feedback

If you go to the Calculators page in the Predicting Alpha terminal you will see something called the correlation matrix. All you need to do is input the tickers that you are considering trading into this matrix and it will tell you how correlated they are to each other.

The lower the number, the better. There are no hard rules, but to get you started you can say that anything below 75% can be considered a low to moderate correlation.



- ✓ We are deciding between 3 ETFs to determine which one to add to our portfolio. We only have room to add one more ticker. *1/1

Ticker A has a 4 year average straddle return of 25%, a share price of \$23.76 and an average option volume of 1,000.

Ticker B has a 4 year average straddle return of -12%, a share price of \$27.65 and an average option volume of 75,000.

Ticker C has a 4 year average straddle return of 18%, a share price of \$25.01, and an average option volume of 50,000

Which ETF should we select (assume we are strictly following the rules for the ETF VRP strategy)?

- ☐ Ticker A.
- ☐ Ticker B.
- ☒ Ticker C. ✓
- ☐ None of these tickers should be traded.
- ☐ All of these tickers should be traded.

Feedback

Ticker C is the best choice to add to our portfolio because it has a positive average straddle return and high liquidity.

Ticker A, while having a better straddle return, suffers from poor liquidity meaning that we will be paying a lot to cross the bid ask spread when getting fills. This actually negates a lot of the benefit from the higher performance because in practice a lot of it will be given back to the market due to the slippage.

Ticker B, while very liquid, has a negative average straddle return. This means there is not a variance risk premium available for us to capture and it is not an option that we should consider trading.

This leaves Ticker C and the best candidate for us to trade.



✗ What is the best way to observe the liquidity for an ETF? *

0/1

- ☒ The average daily option volume in the PA Terminal. ✗
- ☐ The level 2 data in your brokerage.
- ☐ The bid ask spread for the position.
- ☐ The last traded price for the position.

Correct answer

- ☒ The bid ask spread for the position.

Feedback

In the end of the day, every other metric besides the actual bid-ask spread is proxy to try and estimate liquidity. Your ability to get a fill dictates the liquidity. If the gap between the price someone is willing to buy and sell at is small, then the ticker is liquid. If it's large, it's illiquid.

Bid-ask spread can effectively be measured as a percentage of the option price. "the spread is 10% of the contract value" for example.

✓ Why do shorter expirations tend to have more VRP? *

1/1

- ☒ Big moves have a larger impact on the option value. ✓
- ☐ There is more liquidity as the expiration gets closer.
- ☐ Retails gamblers don't buy long dated options.
- ☐ Hedge funds typically buy these options.

Feedback

The shorter dated options tend to have more variance risk premium because they are more sensitive to big changes in the price of the underlying asset.

They have more gamma exposure which is the primary thing that option buyers are looking for.



✗ What is the primary reason you would want to buy a hedge for the ETF Premium strategy? *0/1

- ☒ To give ourselves a good risk reward ratio on each trade. ✗
- ☐ Because we should never trade without a max loss stop in place.
- ☐ To hedge away our worst case scenario.
- ☐ All of the above.

Correct answer

- ☒ To hedge away our worst case scenario.

Feedback

We always have to remember that the reason we are getting paid in this strategy is for holding the risk that there is a downturn in the market.

If we do not hold this risk, then there is not reason for us to get paid. So guess what? We don't end up getting paid!

When we buy this hedge we are basically trying to remove the absolute worst case scenario. We accept that we are still holding significant risk, we are just trying to make sure that we can always stay in the game even if the worst case scenario were to happen.

That is the purpose of the hedge that we buy.



✓ What is the primary reason you would not want to buy a hedge for the ETF Premium strategy? *1/1

- ☐ Hedges tend to be expensive.
- ☐ It eats into our expected value.
- ☐ We get paid for holding this risk.
- ☒ All of the above.



Feedback

It's so important to understand that the hedge is not free. It's not even cheap. Remember, we are getting paid for hold the risk of a big move in the underlying. That's why if you are going to buy a hedge it's important that it is only there to protect against worst case scenarios. It's not about getting a good risk/reward, it's literally there to keep you in the game if things go heavily against you. It's not a bad thing to buy a hedge, it's just important to understand what you are giving up in exchange for the protection.

Section 3: Earnings Premium Strategy

This section of the test covers the information taught to you in the Earnings Premium section of the course.



✓ Why does the earnings premium strategy make money? *

1/1

- ☐ Traders overpay for options around earnings.
- ☐ We are able to place lots of uncorrelated trades.
- ☐ There is a very high demand for options, very little supply.
- ☒ All of the above.



Feedback

Earnings is a time where everyone is looking to buy options and very few people are willing to sell them. There can be a lot of volatility around an earnings event.

This creates an environment where the price of options increases and there is a substantial premium that we can harvest.

Having hundreds of events each earnings season that we can effectively trade is a major benefit too, because it allows us to be very strategic with how we try to capture the premium. We do not need to size up on a single trade now. We can diversify across many earnings events, which allows us to spread our risk across many uncorrelated trades (just because stock ABC has a big move on earnings doesn't mean stock XYZ will too).

✓ What is the core of how we run the earnings strategy? *

1/1

- ☐ Rank tickers by their backtest performance and sell on the ones that make money.
- ☐ Compare the implied and realized moves to find stocks with an earnings premium.
- ☒ Sell straddles on a basket of stocks that have earnings today.
- ☐ Sell the top performing ticker over the last 4 years each day for the earnings season



Feedback

The reason we are able to collect the risk premium around earnings events is because we are able to sell options across a large number of events each season. The risk premium is present across all the ones we select and by being able to diversify we minimize the losses we take from unexpected moves.



✓ What Is the Earnings Implied Move? *

1/1

- ☒ The market's expected +/- move from the earnings release. ✓
- ☐ The implied downside move the market expects.
- ☐ The average move a company has on its earnings date.
- ☐ The exact number in which a company will move on its earnings date.

Feedback

The implied move around earnings is how much the market expects the stock to move on the day after the event. It is measured as the size of the move the market forecasts from the market close before the event, to the market close after the event.

✓ Where do I find trades for the Earnings Premium strategy? *

1/1

- ☐ On my own watchlist.
- ☒ On the Earnings Premium scan in the PA Terminal. ✓
- ☐ On the Earnings Analysis page in the PA Terminal.
- ☐ In the discord community.

Feedback

Built into the Predicting Alpha terminal is a scan that will show you all of the tickers that have an earnings event that is tradable today at market close, meaning they have earnings either after market close today or before market open tomorrow.

This scan is the same one that our team uses to generate a list of potential trades. It's a good starting point for you and sufficient for the strategy. As you become more familiar with the strategy you may want to make some adjustments to tailor the scan for your account or the data you like to see, which you can do on the scanner page.



✓ Which of the following analogies is a great way to explain earnings trading to others?

*1/1

- ☒ Selling car insurance.
- ☐ Running a lemonade stand.
- ☐ Starting a software company.
- ☐ Playing roulette.



Feedback

Car insurance is similar to earnings in that on each individual car the premium is pretty small and the cost of a "crash" is much higher.

Just like in earnings, the way that car insurance companies make money is by ensuring that every single car they insure has positive expected value and then insuring as many cars like this as they can.



✓ Why is it important to sell volatility on many tickers when trading earnings?

*1/1

- ☒ Diversification protects us for big jumps in individual stocks. ✓
- ☐ We want to capture all of the premium from each company.
- ☐ It's hard to know which options traders are willing to pay the most for.
- ☐ It's not important. We just need to trade the ones that have made money historically.

Feedback

On any given earnings event there is the potential for a significantly outsized move. But just because one company has a big move doesn't mean that the others you traded will. The events are uncorrelated with each other.

This allows us to get ample diversification to smoothen our PnL and extract the expected value of the strategy.

It also allows us to use our margin effectively and get enough trades on to have a meaningful impact on our portfolio without needing to be oversized into just a couple of trades, which is too much risk.



✓ What is the biggest consideration when deciding if you should run the Earnings Premium strategy? *1/1

- ☐ Are you able to handle the bigger PnL variance.
- ☐ Are you able to trade the market open and market close.
- ☐ Do you have enough capital to place lots of trades each day.
- ☒ All of the above.



Feedback

The earnings strategy is much more hands on and has much higher daily PnL variance than the ETF strategy. It also has higher long term expected value. You need to understand all of these things and their implications before starting to trade the strategy.

✓ Which is a common way traders mess up the earnings strategy? * 1/1

- ☐ They trade stocks too big for their account.
- ☐ They don't trade enough tickers.
- ☐ They always exit their trade right when the market opens.
- ☒ All of the above.



Feedback

All of these reasons are common ways that traders mess up with earnings trading. It can all be boiled down to a poor understanding of the strategy and poor execution.



- ✓ In terms of our greeks, which are the exposures that we want for our trades in the Earnings Premium strategy? *1/1
- ☐ Delta neutral, long gamma, short theta, short vega.
 - ☐ Delta neutral, long gamma, short theta, long vega.
 - ☐ Delta neutral, short gamma, long theta, long vega.
 - ☒ Delta neutral, short gamma, long theta, short vega. ✓

Feedback

The exposures that we want in terms of greeks are determined based on the view we are trying to express on the market. Similar to how when you want to cut a piece of wood you use a saw, when you want to express a certain view you use a certain option structure. We like to use the saw to cut wood because it's got the jagged and sharp edge. We like to use a particular option structure because it's got certain greeks.

In the Earnings Premium strategy, we can ask ourselves a series of questions to make this determination

- 1. Do we have an opinion on the direction the stock will go?*
- 2. Do we think implied volatility will increase or decrease?*
- 3. Do we think implied volatility will be higher than realized volatility?*

Since we don't know what direction it will go, we want no exposure to it. We think implied volatility will go down over time, so we want exposure to a decrease in it. We think implied volatility will be higher than realized volatility so we want exposure to that.

Delta neutral, short gamma, long theta, and short vega is what gives us this exposure.



✓ What is the optimal expiration date for our trades in the Earnings Premium strategy?

*1/1

- ☐ 0 DTE.
- ☒ 1 DTE.
- ☐ 7 DTE.
- ☐ 30 DTE.



Feedback

We want to be trading the shortest DTE that we can which still gives us exposure to the earnings event. This would be the 1DTE (0 DTE expires today at the close, doesn't see the event).

✓ If you are going to buy wings for your earnings trades, what is a good rule of thumb for where to place them? *1/1

- ☐ Get a 1:1 risk reward for each trade.
- ☒ 2x the at-the-money straddle price away .
- ☐ 1x the at-the-money straddle price away.
- ☐ Get a 2:1 risk reward for each trade.



Feedback

The wings need to be far from the strikes you sold. They are there to protect you from worst case scenarios, not give you a good risk reward. Setting them at least 2x the straddle price away is a good rule to follow to make sure that they are far enough out.



✓ What is the primary reason you would want to buy a hedge for the Earnings Premium strategy?

*1/1

- ☒ To hedge away our worst case scenario. ✓
- ☐ To give ourselves a good risk reward ratio on each trade.
- ☐ Because we should never trade without a max loss stop in place.
- ☐ All of the above.

Feedback

We always have to remember that the reason we are getting paid in this strategy is for holding the risk that there is an earnings surprise and the stock moves drastically more than expected.

If we do not hold this risk, then there is not reason for us to get paid. So guess what? We don't end up getting paid!

When we buy this hedge we are basically trying to remove the absolute worst case scenario. We accept that we are still holding significant risk, we are just trying to make sure that we can always stay in the game even if the worst case scenario were to happen.

That is the purpose of the hedge that we buy.



✓ What is the primary reason you would not want to buy a hedge for the Earnings Premium strategy? *1/1

- ☐ We can hedge better by diversifying.
- ☐ It eats into our expected value.
- ☐ We get paid for holding this risk.
- ☒ All of the above.



Feedback

It's so important to understand that the hedge is not free. It's not even cheap. Remember, we are getting paid for hold the risk of a big move around the earnings event. That's why if you are going to buy a hedge it's important that it is only there to protect against worst case scenarios. It's not about getting a good risk/reward, it's literally there to keep you in the game if things go heavily against you. It's not a bad thing to buy a hedge, it's just important to understand what you are giving up in exchange for the protection.



✗ What is a sign that someone is hedging risk for the wrong reasons? *

0/1

- ☒ They are generally risk averse. ✗
- ☐ They are constantly thinking about their max drawdown.
- ☐ They always buy wings.
- ☐ They talk about their trade trades in terms of risk reward ratios.

Correct answer

- ☒ They talk about their trade trades in terms of risk reward ratios.

Feedback

A lot of traders struggle to become comfortable with the fact that they are getting paid for holding risk. They know that selling options is the right approach but they struggle to shake the old mindset of thinking in terms of risk reward. This is why it's a sign that someone is holding a hedge for the wrong reasons when they are always describing their trade structure in terms of it's risk reward, as if that is what is leading to their profitability.



✗ Why is the impact of wings deceiving for the Earnings Premium Strategy's *0/1 expected return?

- ☐ They save you money in the long run.
- ☐ They typically only cost a small amount of the total premium collected.
- ☒ They limit your risk to the upside and downside. ✗
- ☐ All of the above.

Correct answer

- ☒ They typically only cost a small amount of the total premium collected.

Feedback

When buying wings only costs maybe 10-15% of the premium you collect, it's easy to think that they are cheap. You are keeping 85% of the premium!

But it's important to remember that the entire premium you collect on the trade is not your expected value. It's not the variance risk premium. That is the total premium. The variance risk premium is likely only 10-20% of the straddle price. Once you realize this, it becomes much more clear that these wings are not cheap at all. They could be taking your positive expected value strategy and making it negative expected value.



✗ Which of the following set of rules are the core ones for managing/executing earnings trades?

*0/1

- ☐ Trade tight to the event, get good fills, time your exit correctly.
- ☒ Enter before the close, close after the open, always wait for the IV to crush. ✗
- ☐ Isolate the event, trade short dated expirations, make sure you always buy wings far OTM.

Correct answer

- ☒ Trade tight to the event, get good fills, time your exit correctly.

Feedback

Execution is one of the most important parts of running this strategy. The risk premium exists and we need to make sure that we follow procedures that most effectively monetize the risk premium.

Buying wings is not a key part of the execution strategy and waiting for the IV to crush is not mandatory in all circumstances.



✓ You have placed a trade for the Earnings Premium strategy. The market opens, and the realized move was 3 times larger than the implied move. What should you do? *1/1

- ☒ Close out the trade immediately. ✓
- ☐ Hold until the end of day to wait for mean reversion.
- ☐ Wait for the IV crush , then close out by trying to get a good fill.
- ☐ Roll the position to a 30 day short straddle.

Feedback

When the realized move is so much bigger than the implied move, the underlying share price is going to be very far away from your strike prices.

In this scenario, there is very little vega exposure left in your position. Your PnL is not really going to be impacted by a change in the level of implied volatility. Your whole PnL will basically be dictated by delta at this point, and this is not what we are trying to trade.

The best thing to do is close out the trade immediately.



✓ You have placed a trade for the Earnings Premium strategy. The market opens, and the realized move was much lower than the implied move. What should you do? *1/1

- ☐ Close out the trade immediately.
- ☐ Hold until the end of day to wait for mean reversion.
- ☒ Wait for the IV crush , then close out by trying to get a good fill. ✓
- ☐ Roll the position to a 30 day short straddle.

Feedback

In this situation you are going to want to wait until the implied volatility has come down to it's non event levels. Since the underlying share price is still very close to your strike prices, you will still have a significant amount of vega exposure remaining. This is going to drive a massive party of your pnl at this stage.

✓ You have placed a trade for the Earnings Premium strategy. The market opens, and the realized move was the same as the implied move. What should you do? *1/1

- ☐ Close out the trade immediately.
- ☐ Hold until the end of day to wait for mean reversion.
- ☒ Wait for the IV crush , then close out by trying to get a good fill. ✓
- ☐ Roll the position to a 30 day short straddle.

Feedback

In this situation you are going to want to wait until the implied volatility has come down to it's non event levels. Since the underlying share price is still close to your strike prices, you will still have a significant amount of vega exposure remaining. This is going to drive a massive party of your pnl at this stage.





If you want to estimate how much the implied volatility should be crushed by after earnings, which is the best way to see this?

*1/1

- ☐ By looking at the implied volatility of longer dated options.
- ☒ The IV crush estimate on the scanner and earnings dashboard. 
- ☐ By seeing how much the IV has dropped in the past.
- ☐ All of the above.

Feedback

Calculating the event volatility that is embedded into option prices is a calculation that is handled for you in the platform. This allows us to see the "event" and "non-event" versions of the implied volatility.

We use this to estimate the IV Crush that will happen after the event.



You have placed a trade for the Earnings Premium strategy. The market opens, and the bid/ask spread is three times wider than it was when you put the trade on yesterday. What should you do?

*1/1

- ☐ Hit the ask and get out of the trade.
- ☐ Start working your order right away and quickly take the best fill you can get.
- ☒ Wait for a few minutes to see if the spread becomes tighter. 
- ☐ Since the spread is wide, fill a market order.

Feedback

Right when the market opens the other market participants are working quickly to reprice the options after the move in the underlying. Things are still moving quickly in the morning and it can take a bit of time for the market makers to feel comfortable bringing the bid ask spread in tighter. If in the morning the spreads are extremely wide, do not panic and rush to exit. Wait for a minute and see if the spreads improve.



✓ I want to see a backtest of how selling straddles has performed around earnings for a ticker. Where can I see this? *1/1

- ☒ On the earnings dashboard in the Predicting Alpha Terminal. ✓
- ☐ By looking at the stock movement on each day historically for earnings in your brokerage.
- ☐ By looking at the IV timeseries in your brokerage.
- ☐ All of the above.

Feedback

You are able to see an automatically generated backtest over the last 4 years of earnings events and the key metrics from it for every single stock by going to the earnings page in the Predicting Alpha terminal. You can access this page by clicking the view report button beside any of the tickers on the earnings scanner or you can go to it on the sidebar of the terminal. If you manually go to the page, you will need to search up the stocks by typing them into the ticker dropdown in the top left corner of the terminal.

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